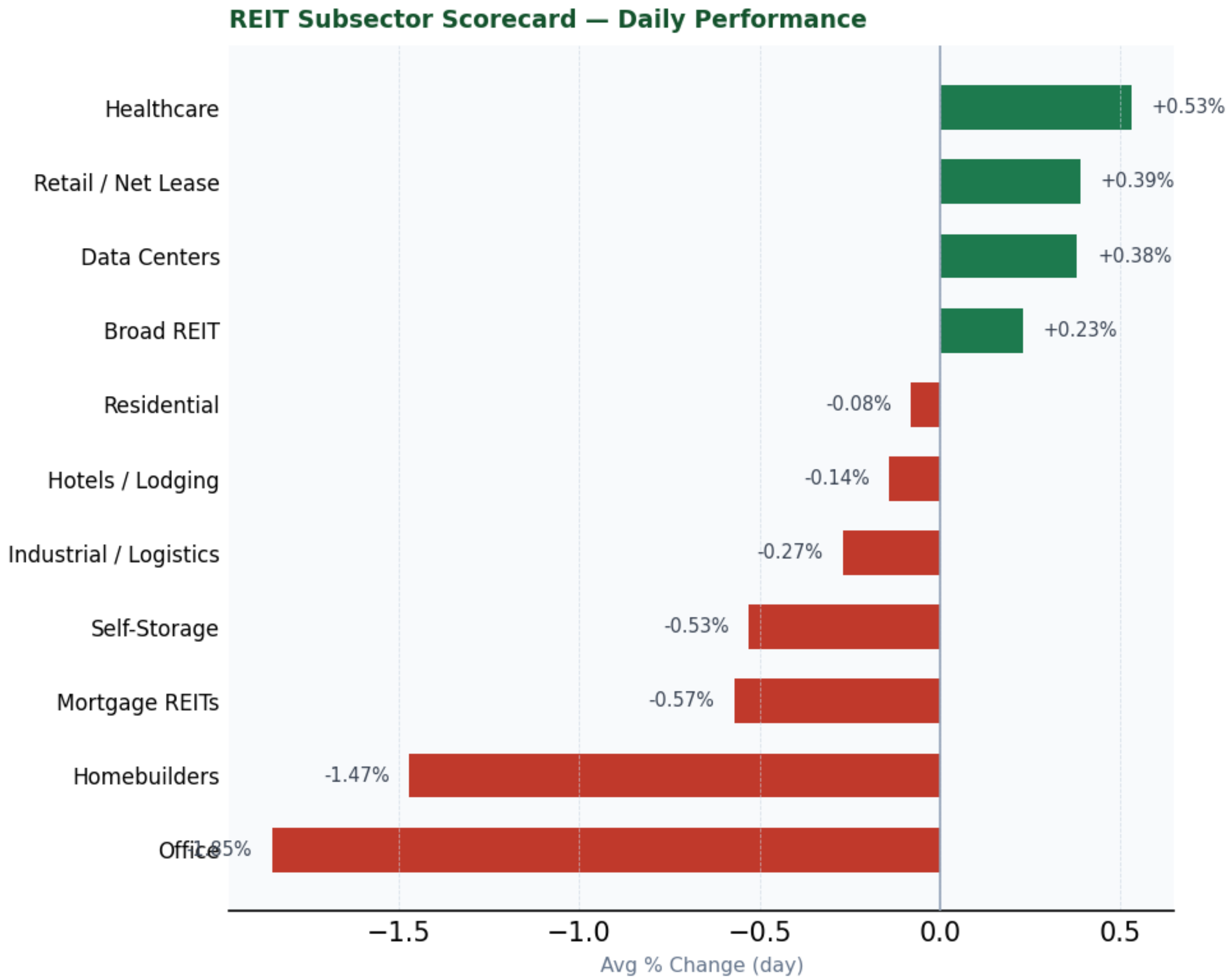

RE Morning Brief — Tuesday, May 19, 2026

Data as of 10:28 AM ET

Rates rising across the curve (10Y +0.69% to 4.6550%, 5Y +0.75%) drove rotation out of duration-sensitive REITs — Office (-1.85%) and Homebuilders (-1.47%) lagged, while Healthcare (+0.53%), Net Lease (+0.39%), and Data Centers (+0.38%) led on relative resilience.

■ **WARNINGS:** Headlines data unavailable for today's session — causal attribution in "What Drove It" is suppressed per sourcing rules. Macro calendar data unavailable (FRED_API_KEY not set). No prior-session history (first run).

What Moved

Asset	Price	Change	Note

VNO (Office)	$30.77	-2.78%	Largest single-name decline
TOL (Homebuilders)	$124.14	-2.23%	Rate-sensitive selloff
AMT (Data Centers)	$181.19	+2.21%	Top REIT performer
10Y Treasury Yield	4.6550%	+0.69%	Long end pressure
VNQ (Broad REIT ETF)	n/a	+0.19%	Modest aggregate gain
VIX	n/a	n/a	Data unavailable

Key Takeaways

Rates rose across the entire curve (10Y +0.69%, 5Y +0.75%, 30Y +0.52%) and MBS lost -0.58%, producing the textbook duration-driven REIT split: Office (-1.85%) and Homebuilders (-1.47%) were hardest hit, while Healthcare (+0.53%) and Net Lease (+0.39%) absorbed the move. The anomaly is Data Centers' +0.38% — and AMT +2.21% specifically — outperforming despite long-duration cash flows, suggesting idiosyncratic flows or AI/infrastructure demand outweighing the rate beta. Next session: watch whether the 10Y holds above 4.65% — sustained pressure widens the Office/long-duration spread further.

Recruiting Angle

The non-obvious read is the bifurcation within long-duration REIT subsectors: Office and Homebuilders sold off in line with the rate move, but Data Centers (+0.38% on a +0.69% 10Y day) and Healthcare (+0.53%) absorbed the shock. Both are nominally long-duration — Data Centers more so given the 10-15 year hyperscaler lease tenor — so a simple DV01-style rate-beta framework would have predicted symmetric weakness. The fact that AMT printed +2.21% on a day Office got hit nearly 200 bps argues for a regime where cash-flow growth visibility (AI-linked demand, demographically-locked senior housing absorption) is repricing the duration premium asymmetrically. In an IB/REPE interview, this is the angle: rate sensitivity in REITs is increasingly a growth-quality story, not a pure duration story — and the implied cap rate spread between secular-demand and cyclically-exposed subsectors is widening even as the risk-free rate rises.

Subsectors to Watch

Potential beneficiaries - **Healthcare REITs:** Demographic-driven NOI growth providing relative insulation from the rate move (+0.53% on +0.69% 10Y day). - **Net Lease / Triple-Net:** Long-WALT contractual escalators offering carry through rate volatility (+0.39%). - **Data Centers:** AMT's +2.21% on a rising-rate session signals secular demand outweighing duration math.

Facing headwinds - **Office:** Worst-performing subsector at -1.85%, with VNO -2.78% and SLG -1.88% — duration and structural occupancy concerns compounding. - **Homebuilders:** -1.47% subsector average, mortgage-rate-sensitive complex pressured by 5Y +0.75% and MBS -0.58%. - **Mortgage REITs:** -0.57% with AGNC -1.02%; book-value pressure from MBS underperformance. - **Self-Storage:** -0.53% with PSA -0.90%, contradicting its typical defensive profile.

What Drove It

Headlines data unavailable for today's session. Per sourcing discipline, causal attribution bullets are omitted rather than fabricated. The rate move (10Y +0.69%, 5Y +0.75%, 30Y +0.52%, MBS -0.58%) and the resulting duration-driven REIT split are the observable facts; the catalysts behind the curve move cannot be sourced from the available data.

Subsector Snapshot

Subsector	Move	Driver
Office	-1.85%	Rate-driven duration selloff
Homebuilders	-1.47%	5Y +0.75%, MBS -0.58% pressure
Mortgage REITs	-0.57%	MBS underperformance
Self-Storage	-0.53%	PSA -0.90% leading lower
Healthcare	+0.53%	Relative defensive bid
Data Centers	+0.38%	AMT +2.21% on secular demand

Forward View

Monday's Open

- No post-close headlines available — overnight catalysts cannot be sourced.
- Pre-market focus should be on whether 10Y holds above 4.65% after the +0.69% session move.
- MBS at -0.58% sets a soft tone for mortgage REIT book values into the open. → Implication: Absent a reversal in the long end, expect continued pressure on Office and Homebuilders at the open.

This Week's Watch

- Macro calendar data unavailable — scheduled releases cannot be cited.
- Upcoming earnings data unavailable — no REIT bellwethers identified for this week.
- **Scenario A:** 10Y holds above 4.65% → continued Office / Homebuilder underperformance, Data Center / Healthcare relative outperformance.
- **Scenario B:** 10Y mean-reverts below 4.60% → mechanical rebound in duration-sensitive REITs, particularly Office (largest dislocation).

- **Scenario C:** Curve bear-steepens further (30Y leads) → mortgage REIT book values pressured; AGNC -1.02% trajectory extends.

What Changed vs Yesterday

No prior-session history available — this is the first run. Comparison analytics suppressed.

This Week's Macro Calendar (ET)

No scheduled releases available (FRED_API_KEY not set).

Deal of the Day

No notable deals in today's data.

Works Cited

No headlines were available in today's data feed. No citations possible.